NEXORA INDUSTRIES LIMITED

Complete Accounting Cycle in Excel | Journal > Ledger > Trial Balance > Income Statement > Balance Sheet

Financial year: 1 July 2025 to 30 June 2026 | Currency: PKR | Prepared by: Jawad Ahmad

PROJECT SUMMARY

A fully formula-driven bookkeeping model for a start-up trading company. Every figure in the ledger, trial balance and financial statements flows from the General Journal, so changing one entry updates the whole workbook. Built-in checks confirm that debits equal credits and that the balance sheet balances.

KEY RESULTS (live from the statements)

	Sales Revenue	**1,225,000**
	Gross Profit	**735,000**
	Operating Profit	**475,000**
	Net Profit after Tax	**332,500**
	Total Assets	**6,225,000**
	Trial Balance check (0 = OK)	**-**
	Balance Sheet check (0 = OK)	**-**

WORKBOOK GUIDE

1	**Chart of Accounts**	15 accounts with code, category, sub-category and financial-statement mapping
2	**General Journal**	All 14 double-entry journal entries (the only place with typed inputs)
3	**Ledger**	Every account with running balance, pulled from the journal by formula
4	**Trial Balance**	Totals and closing balances using SUMIF; confirms debits = credits
5	**Income Statement**	Revenue, gross profit, operating profit, tax and net profit
6	**Balance Sheet**	Assets vs liabilities + equity, with a balance check

TRANSACTIONS RECORDED

No.	Date	Transaction	Amount (PKR)
1	01-Jul-2025	Started business with cash	5,000,000
2	02-Jul-2025	Deposited cash into bank	1,500,000
3	05-Jul-2025	Inventory purchased on credit from Mega Mart	750,000
4	07-Jul-2025	Inventory purchased from Multi Media (paid via bank - assumed)	500,000
5	10-Jul-2025	Inventory sold on credit to Mr. Rehman	800,000
6	14-Jul-2025	Inventory sold for cash	425,000
7	16-Jul-2025	Office expenses incurred	45,000
8	18-Jul-2025	Entertainment expenses incurred	70,000
9	27-Jul-2025	Computer purchased	250,000
10	01-Aug-2025	Salary paid	110,000
11	02-Aug-2025	Rent paid to Mr. Abbas	35,000
12	15-Jul-2025	Adjustment: cost of goods sold (290,000 + 200,000)	490,000
13	30-Jun-2026	Adjustment: income tax provision @ 30%	142,500

ASSUMPTIONS

1. Payment method was not stated for the Multi Media purchase, computer, office, entertainment, salary and rent; all assumed paid through the bank account.
2. No depreciation is charged on computer equipment (simplified for this exercise).
3. Income tax is 30% of operating profit, provided at year end and shown as payable to the government.
4. Cost of goods sold of PKR 490,000 is recorded as two adjustment entries against inventory.
5. Tools used: Microsoft Excel, SUMIF, data validation, absolute/relative references, formula-based checks.

NEXORA INDUSTRIES LIMITED

Chart of Accounts

For the year ended 30 June 2026 | Amounts in PKR

Code	Account Name	Category	Sub-Category	Financial Statement	Normal Balance
1001	Cash in Hand	Asset	Current Assets	Balance Sheet	Debit
1002	Bank	Asset	Current Assets	Balance Sheet	Debit
1003	Inventory	Asset	Current Assets	Balance Sheet	Debit
1004	Accounts Receivable - Mr. Rehman	Asset	Current Assets	Balance Sheet	Debit
1101	Computer Equipment	Asset	Non-Current Assets	Balance Sheet	Debit
2001	Accounts Payable - Mega Mart	Liability	Current Liabilities	Balance Sheet	Credit
2002	Income Tax Payable (Govt)	Liability	Current Liabilities	Balance Sheet	Credit
3001	Owner's Capital	Equity	Equity	Balance Sheet	Credit
4001	Sales Revenue	Revenue	Revenue	Income Statement	Credit
5001	Cost of Goods Sold	Expense	Cost of Sales	Income Statement	Debit
5002	Office Expenses	Expense	Operating Expenses	Income Statement	Debit
5003	Entertainment Expenses	Expense	Operating Expenses	Income Statement	Debit
5004	Salary Expense	Expense	Operating Expenses	Income Statement	Debit
5005	Rent Expense	Expense	Operating Expenses	Income Statement	Debit
5006	Income Tax Expense	Expense	Tax	Income Statement	Debit

NEXORA INDUSTRIES LIMITED

General Journal

For the year ended 30 June 2026 | Amounts in PKR

JE No.	Date	Description	Account	Debit	Credit	Narration
JE-01	01-Jul-2025	Business started with cash	Cash in Hand	5,000,000		*Owner's capital introduced in cash*
JE-01	01-Jul-2025	Business started with cash	Owner's Capital		5,000,000	
JE-02	02-Jul-2025	Cash deposited into bank	Bank	1,500,000		*Cash moved from hand to bank account*
JE-02	02-Jul-2025	Cash deposited into bank	Cash in Hand		1,500,000	
JE-03	05-Jul-2025	Inventory purchased on credit	Inventory	750,000		*Goods bought from Mega Mart on credit*
JE-03	05-Jul-2025	Inventory purchased on credit	Accounts Payable - Mega Mart		750,000	
JE-04	07-Jul-2025	Inventory purchased	Inventory	500,000		*Goods bought from Multi Media (paid via bank - assumed)*
JE-04	07-Jul-2025	Inventory purchased	Bank		500,000	
JE-05	10-Jul-2025	Inventory sold on credit	Accounts Receivable - Mr. Rehman	800,000		*Credit sale to Mr. Rehman*
JE-05	10-Jul-2025	Inventory sold on credit	Sales Revenue		800,000	
JE-06	14-Jul-2025	Inventory sold for cash	Cash in Hand	425,000		*Cash sale*
JE-06	14-Jul-2025	Inventory sold for cash	Sales Revenue		425,000	
JE-07	15-Jul-2025	Cost of goods sold	Cost of Goods Sold	290,000		*Cost of inventory sold (1 of 2)*
JE-07	15-Jul-2025	Cost of goods sold	Inventory		290,000	
JE-08	15-Jul-2025	Cost of goods sold	Cost of Goods Sold	200,000		*Cost of inventory sold (2 of 2)*
JE-08	15-Jul-2025	Cost of goods sold	Inventory		200,000	
JE-09	16-Jul-2025	Office expenses incurred	Office Expenses	45,000		*Office expenses paid via bank*
JE-09	16-Jul-2025	Office expenses incurred	Bank		45,000	
JE-10	18-Jul-2025	Entertainment expenses incurred	Entertainment Expenses	70,000		*Entertainment expenses paid via bank*
JE-10	18-Jul-2025	Entertainment expenses incurred	Bank		70,000	
JE-11	27-Jul-2025	Computer purchased	Computer Equipment	250,000		*Computer bought for business use (paid via bank)*
JE-11	27-Jul-2025	Computer purchased	Bank		250,000	
JE-12	01-Aug-2025	Salary paid	Salary Expense	110,000		*Salary paid via bank*
JE-12	01-Aug-2025	Salary paid	Bank		110,000	
JE-13	02-Aug-2025	Rent paid to Mr. Abbas	Rent Expense	35,000		*Rent paid via bank*
JE-13	02-Aug-2025	Rent paid to Mr. Abbas	Bank		35,000	
JE-14	30-Jun-2026	Income tax provision	Income Tax Expense	142,500		*Year-end tax provision: 30% of operating profit (see Income Statement)*
JE-14	30-Jun-2026	Income tax provision	Income Tax Payable (Govt)		142,500	
			Total	**10,117,500**	**10,117,500**	
			Check (Debit - Credit, must be 0)		**-**	

Blue = typed input (source transactions). Black = formula. Credit lines always mirror the debit line above them.

NEXORA INDUSTRIES LIMITED

General Ledger (all accounts, running balance)

For the year ended 30 June 2026 | Amounts in PKR

1001 - Cash in Hand

Date	Description	Contra Account	Debit	Credit	Balance
01-Jul-2025	Business started with cash	Owner's Capital	5,000,000		5,000,000 Dr
02-Jul-2025	Cash deposited into bank	Bank		1,500,000	3,500,000 Dr
14-Jul-2025	Inventory sold for cash	Sales Revenue	425,000		3,925,000 Dr
		Closing balance	**5,425,000**	**1,500,000**	**3,925,000 Dr**

1002 - Bank

Date	Description	Contra Account	Debit	Credit	Balance
02-Jul-2025	Cash deposited into bank	Cash in Hand	1,500,000		1,500,000 Dr
07-Jul-2025	Inventory purchased	Inventory		500,000	1,000,000 Dr
16-Jul-2025	Office expenses incurred	Office Expenses		45,000	955,000 Dr
18-Jul-2025	Entertainment expenses incurred	Entertainment Expenses		70,000	885,000 Dr
27-Jul-2025	Computer purchased	Computer Equipment		250,000	635,000 Dr
01-Aug-2025	Salary paid	Salary Expense		110,000	525,000 Dr
02-Aug-2025	Rent paid to Mr. Abbas	Rent Expense		35,000	490,000 Dr
		Closing balance	**1,500,000**	**1,010,000**	**490,000 Dr**

1003 - Inventory

Date	Description	Contra Account	Debit	Credit	Balance
05-Jul-2025	Inventory purchased on credit	Accounts Payable - Mega Mart	750,000		750,000 Dr
07-Jul-2025	Inventory purchased	Bank	500,000		1,250,000 Dr
15-Jul-2025	Cost of goods sold	Cost of Goods Sold		290,000	960,000 Dr
15-Jul-2025	Cost of goods sold	Cost of Goods Sold		200,000	760,000 Dr
		Closing balance	**1,250,000**	**490,000**	**760,000 Dr**

1004 - Accounts Receivable - Mr. Rehman

Date	Description	Contra Account	Debit	Credit	Balance
10-Jul-2025	Inventory sold on credit	Sales Revenue	800,000		800,000 Dr
		Closing balance	**800,000**	**-**	**800,000 Dr**

1101 - Computer Equipment

Date	Description	Contra Account	Debit	Credit	Balance
27-Jul-2025	Computer purchased	Bank	250,000		250,000 Dr
		Closing balance	**250,000**	**-**	**250,000 Dr**

2001 - Accounts Payable - Mega Mart

Date	Description	Contra Account	Debit	Credit	Balance
05-Jul-2025	Inventory purchased on credit	Inventory		750,000	750,000 Cr
		Closing balance	**-**	**750,000**	**750,000 Cr**

2002 - Income Tax Payable (Govt)

Date	Description	Contra Account	Debit	Credit	Balance
30-Jun-2026	Income tax provision	Income Tax Expense		142,500	142,500 Cr
		Closing balance	**-**	**142,500**	**142,500 Cr**

3001 - Owner's Capital

Date	Description	Contra Account	Debit	Credit	Balance
01-Jul-2025	Business started with cash	Cash in Hand		5,000,000	5,000,000 Cr
		Closing balance	**-**	**5,000,000**	**5,000,000 Cr**

4001 - Sales Revenue

Date	Description	Contra Account	Debit	Credit	Balance
10-Jul-2025	Inventory sold on credit	Accounts Receivable - Mr. Rehman		800,000	800,000 Cr
14-Jul-2025	Inventory sold for cash	Cash in Hand		425,000	1,225,000 Cr
		Closing balance	**-**	**1,225,000**	**1,225,000 Cr**

5001 - Cost of Goods Sold

Date	Description	Contra Account	Debit	Credit	Balance
15-Jul-2025	Cost of goods sold	Inventory	290,000		290,000 Dr
15-Jul-2025	Cost of goods sold	Inventory	200,000		490,000 Dr
		Closing balance	**490,000**	**-**	**490,000 Dr**

5002 - Office Expenses

Date	Description	Contra Account	Debit	Credit	Balance
16-Jul-2025	Office expenses incurred	Bank	45,000		45,000 Dr
		Closing balance	**45,000**	**-**	**45,000 Dr**

5003 - Entertainment Expenses

Date	Description	Contra Account	Debit	Credit	Balance
18-Jul-2025	Entertainment expenses incurred	Bank	70,000		70,000 Dr
		Closing balance	**70,000**	**-**	**70,000 Dr**

5004 - Salary Expense

Date	Description	Contra Account	Debit	Credit	Balance
01-Aug-2025	Salary paid	Bank	110,000		110,000 Dr
		Closing balance	**110,000**	**-**	**110,000 Dr**

5005 - Rent Expense

Date	Description	Contra Account	Debit	Credit	Balance
02-Aug-2025	Rent paid to Mr. Abbas	Bank	35,000		35,000 Dr
		Closing balance	**35,000**	**-**	**35,000 Dr**

5006 - Income Tax Expense

Date	Description	Contra Account	Debit	Credit	Balance
30-Jun-2026	Income tax provision	Income Tax Payable (Govt)	142,500		142,500 Dr
		Closing balance	**142,500**	**-**	**142,500 Dr**

NEXORA INDUSTRIES LIMITED

Trial Balance

For the year ended 30 June 2026 | Amounts in PKR

Code	Account	Category	Total Debit	Total Credit	Debit Balance	Credit Balance
1001	Cash in Hand	Asset	5,425,000	1,500,000	3,925,000	-
1002	Bank	Asset	1,500,000	1,010,000	490,000	-
1003	Inventory	Asset	1,250,000	490,000	760,000	-
1004	Accounts Receivable - Mr. Rehman	Asset	800,000	-	800,000	-
1101	Computer Equipment	Asset	250,000	-	250,000	-
2001	Accounts Payable - Mega Mart	Liability	-	750,000	-	750,000
2002	Income Tax Payable (Govt)	Liability	-	142,500	-	142,500
3001	Owner's Capital	Equity	-	5,000,000	-	5,000,000
4001	Sales Revenue	Revenue	-	1,225,000	-	1,225,000
5001	Cost of Goods Sold	Expense	490,000	-	490,000	-
5002	Office Expenses	Expense	45,000	-	45,000	-
5003	Entertainment Expenses	Expense	70,000	-	70,000	-
5004	Salary Expense	Expense	110,000	-	110,000	-
5005	Rent Expense	Expense	35,000	-	35,000	-
5006	Income Tax Expense	Expense	142,500	-	142,500	-
	Total		**10,117,500**	**10,117,500**	**7,117,500**	**7,117,500**
	Check (Debit Balance - Credit Balance, must be 0)					**-**

NEXORA INDUSTRIES LIMITED

Income Statement

For the year ended 30 June 2026 | Amounts in PKR

Particulars	PKR	PKR
Sales Revenue		1,225,000
Cost of Goods Sold		(490,000)
Gross Profit		**735,000**
Operating Expenses		
Office Expenses	45,000	
Rent Expense	35,000	
Salary Expense	110,000	
Entertainment Expenses	70,000	
Total Operating Expenses		**(260,000)**
Operating Profit (Profit before Tax)		**475,000**
Income Tax Expense @	30%	(142,500)
Net Profit for the Year		**332,500**

Check: tax in journal vs tax computed here (must be 0) -

Yellow cell = tax-rate assumption (30%). Parentheses = deduction.

NEXORA INDUSTRIES LIMITED

Balance Sheet

As at 30 June 2026 | Amounts in PKR

Particulars	PKR	PKR
ASSETS		
Non-Current Assets		
Computer Equipment	250,000	
Total Non-Current Assets		**250,000**
Current Assets		
Cash in Hand	3,925,000	
Bank	490,000	
Inventory	760,000	
Accounts Receivable - Mr. Rehman	800,000	
Total Current Assets		**5,975,000**
TOTAL ASSETS		**6,225,000**
LIABILITIES AND EQUITY		
Current Liabilities		
Accounts Payable - Mega Mart	750,000	
Income Tax Payable (Govt)	142,500	
Total Current Liabilities		**892,500**
Equity		
Owner's Capital	5,000,000	
Net Profit for the Year	332,500	
Total Equity		**5,332,500**
TOTAL LIABILITIES AND EQUITY		**6,225,000**

Balance check (Assets - Liabilities & Equity, must be 0) **-**